

Multiple Choice (10 marks)

1. By how much must investment rise to bring about a \$ 300 M change in income if $MPC = 0.75$.
 - (a) \$100 M
 - (b) \$25 M
 - (c) \$30 M
 - (d) \$300 M
 - (e) \$75 M
2. Which of the following would NOT shift the aggregate supply curve?
 - (a) A decrease in government regulation.
 - (b) An increase in the price level.
 - (c) A decrease in the amount of resources in the economy.
 - (d) A decrease in technology.
 - (e) An increase in business investment.
3. The purpose of "augmenting" the Dickey-Fuller test regression is to
 - (a) Ensure that there is no heteroscedasticity in the test regression residuals.
 - (b) Improve the accuracy of the Dickey-Fuller test
 - (c) Ensure that the test regression residuals are negatively skewed
 - (d) Ensure that the test regression residuals are normally distributed
 - (e) Ensure that all of the non-stationarity is taken into account.
4. The appropriate fiscal policy to remedy a recession
 - (a) calls for the federal government to run a deficit.
 - (b) calls for the federal government to run a surplus.
 - (c) is increased taxes and government spending.
 - (d) is decreased government spending and taxes.
5. The pacf is necessary for distinguishing between
 - (a) Different models from within the ARMA family
 - (b) An AR and an ARIMA model
 - (c) Different models from within the ARIMA family
 - (d) An ARIMA and an ARMA model
 - (e) Different models from within the AR model

True / False (10 marks)

Answer True or False

6. True or False: An increase in supply, while demand remains constant, will lead to a rise in the equilibrium price of corn.
7. True or False: Adam Smith believed that the division of labor is limited by the size of the prospective markets available for goods and services.
8. True or False: Slight differences in growth rate percentages determine the exact size of the workforce, reflecting labor market conditions.
9. True or False: In the long run, a tax cut will have no effect on the price level while increasing real output in a full employment economy.
10. True or False: The term 'long run' refers to a time period over which every input in the production process may be considered variable.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the fundamental differences between the nature of demand for land and the demand for cars, emphasizing the concept of derived demand and its implications in economics.
12. Discuss the implications of long-run adjustments for small business owners, using the decision to outsource bread delivery in a café as a case study.

End of Paper